

Sales Domain Performance Analysis

2016 – 2018 · Multi-Country Retail Sales

Prepared as a companion report to the 8-page Power BI dashboard

Executive Summary

Between 2016 and 2018, the business grew revenue from \$282.8M to \$424.4M, a cumulative increase of 50.1%. Growth, however, is decelerating (+27.9% in 2017, slowing to +17.4% in 2018) and is driven almost entirely by rising order values rather than rising order volume, which actually declined slightly over the period. The business is heavily concentrated in a single sales channel, and its highest-revenue product categories are not its highest-margin ones. Five specific, data-grounded opportunities are detailed below.

Total Revenue	Gross Profit	GP Margin	Total Orders	Avg Selling Price
\$1.07bn	\$450.97M	42.2%	72,743	\$81.42

Overall Performance

Revenue grew every year across the three-year window, rising from \$282.76M in 2016 to \$361.59M in 2017 (+27.9%) and to \$424.42M in 2018 (+17.4%). Gross profit followed the same trajectory, from \$119.18M to \$179.30M. While the direction of travel is positive, the rate of growth is slowing – a trend worth monitoring rather than a guaranteed continuation of the prior pace.

Contrary to a common retail assumption, revenue does not show a year-end holiday spike. Monthly totals are comparatively flat across the calendar: February is consistently the weakest month (~\$79.0M cumulative across the three years) while March and May are the strongest (~\$96.6M and ~\$95.8M); December sits mid-pack (~\$93.3M), unremarkable relative to the rest of the year. Seasonal promotions or inventory planning built around a Q4 peak would not be supported by this data.

Order volume, meanwhile, moved in the opposite direction of revenue: 25,060 orders in 2016, 23,915 in 2017, and 23,768 in 2018 – a gentle decline even as revenue climbed by half. Average order value rose accordingly, from roughly \$11,280 to \$17,860 over the same period. Growth is therefore currently a function of larger transactions, not a larger or more active customer base – a distinction with direct implications for where new investment should be targeted (see Recommendation 2).

Product Performance

By Revenue

Games (\$200.3M), Consoles (\$146.7M), and Samsung (\$139.5M) are the leading product types by revenue. Paper books (\$9.5M), Bedding & Bath, and Computer Accessories sit at the bottom of the list.

By Quantity Sold

Accessories (5.3M units), Games (2.5M units), and Home Décor (1.3M units) lead by volume – a different ranking from revenue, reflecting lower unit prices in these categories.

By Gross Profit

Games (\$85.4M), Consoles (\$62.5M), and Laptop (\$59.2M) generate the most gross profit in absolute dollar terms – broadly the same leaders as by revenue, since these are also the highest-volume, highest-revenue lines.

Key Insight: Revenue Rank Is Not Margin Rank

Ranking products by absolute gross profit favors the same large-revenue electronics categories. Ranking by gross profit margin (%) tells a materially different story: Bedding & Bath (51.7%), Home Décor (51.3%), and Home Improvement (51.2%) are the highest-margin categories in the entire catalogue, while Samsung (38.3%), Headphone (38.4%), and iPhone (38.5%) – some of the largest revenue generators – are the lowest-margin. Any strategy that evaluates products on revenue alone risks deprioritizing the categories that are, per dollar sold, the most profitable.

Sales Channel Performance

Web is overwhelmingly the dominant channel, generating \$890.27M (83.3% of total revenue). Sales visit (\$66.38M, 6.2%) and Telephone (\$49.31M, 4.6%) are distant second and third channels. Fax (\$14.44M) and E-mail (\$37.03M) are minor contributors. Most notably, the Local Store (offline) channel recorded a single transaction across the entire three-year period, worth \$34,928 – effectively 0.003% of total revenue.

Channel concentration is not static: Web's share of revenue has grown every year in absolute terms (\$199.21M in 2016 → \$314.27M in 2017 → \$376.79M in 2018), indicating that dependence on a single channel is increasing rather than stabilizing.

Regional Performance

Europe is the highest-grossing region (\$398.83M), followed by North America (\$304.95M) and Asia (\$228.34M). Latin America (\$99.14M) and Oceania (\$37.51M) are comparatively small markets. At the country level, the United States is the single largest market (\$211.93M), more than double the next-largest country, Japan (\$98.99M).

Sales Manager Performance

By absolute revenue, the top three sales managers are Emma Smith (\$211.93M, United States), Pablo Ramirez (\$98.99M, Japan), and Sophia Evans (\$93.02M, Canada). Because each sales manager is responsible for exactly one country, absolute revenue ranking primarily reflects the size of the market they cover rather than individual performance.

A fairer lens is year-over-year revenue growth within each manager's own market. On this measure, Navin Singh (India, +46.3% in 2017) and Antonio González (Mexico, +41.3% in 2017) post the strongest growth rates in the company – both outside the top five by absolute revenue. Emma Smith's growth, by contrast, is comparatively modest (+28.5% in 2017, +21.7% in 2018) despite leading on revenue.

Insights & Recommendations

Five opportunities emerge directly from the data above, each paired with a specific, actionable recommendation.

1. Channel concentration is the single largest structural risk.

83.3% of revenue (\$890.3M) flows through the Web channel, and that share is increasing year over year. The entire offline presence consists of one \$34,928 transaction in three years – the business operates, in practice, as a web-only retailer.

Recommendation: Treat the business as effectively single-channel: invest in web platform resilience, uptime, and acquisition cost management. Either commission a genuine offline or omnichannel pilot with a real budget and target, or formally retire the offline channel rather than maintaining it nominally.

2. Growth is decelerating and is driven by order size, not order volume.

Revenue growth slowed from +27.9% (2017) to +17.4% (2018), while the number of orders fell slightly each year (25,060 → 23,915 → 23,768). Growth to date has come almost entirely from customers spending more per transaction, not from a larger or more active customer base.

Recommendation: Diagnose the order-count decline by country and channel to identify where it is concentrated. Invest specifically in customer acquisition and repeat-purchase programs – price- or basket-driven growth has a natural ceiling that volume growth does not.

3. The highest-revenue products are not the highest-margin products.

Games, the top revenue generator (\$200.3M), carries a gross margin of roughly 42.6%. The three highest-margin categories in the business – Bedding & Bath (51.7%), Home Décor (51.3%), and Home Improvement (51.2%) – are all small, low-revenue lines. Conversely, Samsung, Headphone, and iPhone are large revenue contributors but the three lowest-margin categories (38.3–38.5%).

Recommendation: Grow the high-margin home categories through bundling, cross-sell, and increased marketing placement rather than treating low revenue as a signal to divest. Separately, review cost structure or pricing on Samsung, Headphone, and iPhone, where margin trails the company average by roughly four points or more.

4. Regional performance is highly uneven.

Europe generates \$398.83M against Oceania's \$37.51M – a more than 10-fold gap. The United States alone (\$211.93M) accounts for over half of North America's regional total and is more than double the revenue of the next-largest country, Japan.

Recommendation: Replicate the web-acquisition and pricing playbook that succeeds in the US and Europe in the largest underpenetrated markets – starting with Brazil and Mexico, the largest Latin American markets by current revenue. Set explicit, country-level year-over-year growth targets rather than a single company-wide target.

5. Sales manager rankings by absolute revenue mostly reflect market size, not individual performance.

Each manager is responsible for a single country, so the revenue leaderboard largely mirrors country size. Evaluated instead by year-over-year growth, Navin Singh (India, +46.3%) and Antonio González (Mexico, +41.3%) are the standout performers – both well outside the top five by absolute revenue.

Recommendation: Evaluate and recognize managers primarily on revenue growth rate and margin within their market, not on absolute revenue. Document and share the specific practices used by the top-growth managers as a training resource for the wider team.